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ARVIND FASHIONS
OMNICHANNEL RETAILING IN DIGITAL INDIA

"Disruption is a part of life. Our philosophy is to disrupt ourselves so that we always remain ahead of the curve".

– Kulin Lalbhai, Executive Director, Arvind Ltd.

Ahmedabad, India

As his car rolled to a stop at the traffic signal, Kulin Lalbhai's gaze drifted to the giant billboard over the US Polo Assn. (USPA) store [see **Exhibit 1** for people quoted in the case study]. The smiling faces of Arjun Rampal and Milind Soman looked out into the evening. The tagline read, "Legends Forever Play Together". His company, Arvind Fashions, had just launched an exclusive website for USPA in India and an online-only women's fashion line. The launch was accompanied by digital campaigns on Instagram[1], Facebook[2] and other social media. Lalbhai was pleased with how it had turned out in both the real and virtual worlds. His vision of the fashion industry was Omnichannel, spanning online and brick and mortar with a seamless customer experience.

USPA, launched in India in 2009, was Arvind Fashions' biggest-selling brand in the country, with an annual revenue approaching INR 20 billion (USD 250 million). For Lalbhai, the USPA website launch was another step in his ultimate game plan of building a range of INR 10 billion plus brands with multiple franchises such as Calvin Klein, Tommy Hilfiger, Arrow and Flying Machine. Arvind Fashions intended to open more large format stores with a full range of categories for its key brands while developing dedicated mono-brand websites for each. Currently, a large share of online sales came from third-party portals such as Myntra, Flipkart, Ajio and Amazon. Lalbhai believed that this needed to change. He felt the best way to have full control over customer experience and profit margins was to go more direct-to-consumer (D2C) and drive sales volume to its own channels, including the NNNow.com multi-brand portal.

Was the company headed in the right direction, he wondered. What was the right mix of online and offline? What was the ideal balance between the various channels? Was becoming

[1] US Polo Assn. India (2023, September 13). *Legends Forever Play Together.* Instagram. https://www.instagram.com/reel/CxH3Gn-pKUA/?utm_source=ig_web_button_share_sheet /
[2] NNNow (2023, November 13). *Ace the style game with Leander Paes and Mahesh Bhupathi.* Facebook. https://fb.watch/oXKHAm-Bsa/

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predominantly D2C the right approach? How could technology help deliver the omnichannel consumer experience he was seeking?

The light turned green, and the car started moving again. Lalbhai cast his mind back to when he joined the family business in 2010. With his passion for technology, he built Arvind Internet as a separate technology company within the Arvind fold focused on delivering omnichannel solutions to Arvind Fashions. Over time, Arvind Internet monetised its technology platform by licensing it to other companies. Eventually, the platform was spun off as a separate entity, Omuni, and was sold to Shiprocket Ltd. in 2022. Arvind Fashions continued to be a client of Omuni.

Was divesting the omnichannel platform the right decision? How had Arvind Fashions benefited from this strategy?

THE FASHION INDUSTRY

The global apparel and footwear industry was projected to grow from an estimated USD 1.53 trillion in 2023 to USD 1.94 trillion by 2027. As of 2022, the United States and China were the two largest markets, at USD 312 billion and USD 287 billion, respectively, followed by India at USD 88 billion[3]. Globally, the industry grew 18.8% in 2022, with women's fashion growing 28.9% and footwear 24.5%. Some leading apparel brands worldwide included Nike, Shein, Zara and Lululemon.

In India, apparel and accessories retail was expected to grow to USD 82 billion by 2025, while footwear was expected to grow to USD 13 billion in the same period. In 2022, 56% of the market was with traditional small retail outlets, while organised retail brick and mortar accounted for only 24% of revenue[4]. Online channels accounted for 20% of sales, showing a strong 24% growth year on year[5], driven by the increasing adoption of smartphones[6] and cheaper and faster internet data plans. The Indian fashion consumer was becoming more brand-conscious and willing to spend on high-value purchases. By some estimates[7], India's disposable income was expected to rise at 14.6% annually until 2027, with household spending exceeding USD 3 trillion, which would result in a domestic consumer fashion boom.

Apart from Arvind Fashions, some major players in Indian fashion retail market were Aditya Birla Fashion Retail, Reliance Retail and the Tata Group's Trent. Aditya Birla Fashion Retail with brands such as Louis Philippe, Van Heusen, Allen Solly, and Peter England in its kitty, was the market leader with an annual revenue approaching USD 1.5 billion as of FY2023 (April 2022 – March 2023). Reliance Retail had the largest brand portfolio with over 50 international brands including GAP, Armani, Burberry, Diesel, GAS, Marks & Spencer, Superdry, Brooks Brothers, and Steve Madden. In recent years, some D2C brands have gained

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[3] Statista (2024, February 9). *Revenue of the apparel market worldwide by country in 2023.* https://www.statista.com/forecasts/758683/revenue-of-the-apparel-market-worldwide-by-country

[4] Statista (2024, February 13). *Distribution of apparel and accessories in retail market in India in financial year 2022, by channel.* https://www.statista.com/statistics/1327149/india-apparel-and-accessories-retail-share-by-channel/

[5] Unicommerce and Wazir Advisors. (n.d.). *India Retail And E-Commerce Trends Report 2022.* https://infowordpress.s3.ap-south-1.amazonaws.com/wp-content/uploads/2022/08/01122926/Unicommerce_and_Wazir_Advisors_Report_2022.pdf

[6] Fleck. A. (2023, May 17). India's Growing Internet Connectivity. *Statista.* https://www.statista.com/chart/30029/internet-penetration-rate-in-india/

[7] Jacob, C. (2023, September 6). *India's consumer market set to become the world's third largest by 2027, behind the U.S. and China.* https://www.cnbc.com/2023/09/07/india-consumer-market-to-be-the-worlds-third-largest-by-2027-report-.html

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prominence in the market, such as HRX, The Bear House, Fable Street, The Souled Store, WROGN, Bewakoof, 20Dresses, Chumbak, Jaipur Kurti, Bombay Trooper, Creatures of Habit, and Anouk.

OMNICHANNEL FASHION RETAIL

The evolution of omnichannel has changed how retail businesses engaged with consumers across various touchpoints. Successful retailers seamlessly integrated their brick-and-mortar stores with online platforms. Options like click-and-collect, store and curb-side pickup, and in-store returns for online purchases created a unified shopping experience[8]. The growth of omnichannel retail was driven by the growth of mobile commerce, the need for better fulfilment solutions, the use of Artificial Intelligence and Machine Learning (AI & ML) technology, and increased consumer preference for a more personalised shopping experience (see **Appendix A** for greater details).

As omnichannel retailing grew, companies were also focused on conscious consumerism by embracing sustainability, as many consumers worldwide considered eco-friendly products and ethical supply chains. With increased digital transactions, ensuring data security and respecting customer privacy were of paramount importance. Retailers implemented robust cybersecurity measures and complied with stringent data protection regulations to build and maintain consumer trust.

ARVIND FASHIONS

In 1897, Dalpatbhai Lalbhai set up the Saraspur Manufacturing Company, a textile mill in Gujarat, India[9]. In response to Mahatma Gandhi's call for Swadeshi (homemade)[10] during the struggle for Indian independence, the Lalbhai family founded Arvind Mills in 1931, creating the capacity to compete with global textile makers. The company launched India's first denim brand, Flying Machine in 1980 and established a denim manufacturing plant in Ahmedabad in 1986.

Arvind Fashions was launched as a subsidiary of Arvind Ltd. in 1993. By 2023, it operated 1,300 stand-alone stores and was present in over 5,000 departmental and multi-brand stores across India and sold its merchandise across leading online portals [see **Exhibit 2** for a brief company profile with financials]. The company continued to invest in adjacent categories, such as footwear and children's wear, with an eye on the future. In the second quarter of FY24, it recorded its highest-ever quarterly revenues of INR 12.7 billion, equivalent to USD 152 million[11].

FROM BRICK AND MORTAR TO OMNICHANNEL

In the late 1980s, Sanjay Lalbhai, the current Chairperson and Managing Director of Arvind Ltd. and Kulin's father, felt that as India liberalised and opened its economy to international companies and foreign investment, branded apparel would eventually take off. Kulin Lalbhai

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[8] IESE Business School (2022). *IESE Insight Retail Revolution*. https://insightreports.iese.edu/en/retail-revolution-report/

[9] Arvind (n.d.). *The Arvind Story*. https://www.arvind.com/arvind-story

[10] The Swadeshi movement was a call to self-sufficiency made during the independence movement in India asking the people to adopt goods made in India and firms to produce them in the country

[11] Arvind Fashions Ltd. (November 2023). *Q2FY2024 Presentation*. https://www.arvindfashions.com/wp-content/uploads/2023/11/Presentation-Q2-FY24-1.pdf

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said, *"My father had the vision to realise that brands would be big in the future. He went all around the world and convinced brands to come to India. We had our own brand, Flying Machine. Then he got in Arrow, followed by Lee, Wrangler and Tommy Hilfiger. Over the last 30 years, we have become one of the largest apparel brand companies in the country."*

Starting in 1993, Arvind Fashions designed, sourced and sold its brands and international brand franchises through its own stores and third-party channels [see **Appendix B** for an outline of the fashion product lifecycle]. Small brick and mortar retailers accounted for the majority of sales. In the mid-1990s, the company launched its first exclusive brand outlet (EBO). By the late 1990s, the first departmental stores emerged in India, and Arvind Fashions started selling its brands through these multi-brand outlets (MBOs).

In 2007, Kulin Lalbhai completed his undergraduate studies in electrical engineering at Stanford and started working at McKinsey and Co. in Mumbai, India, as a management consultant. By 2010, e-commerce platforms Flipkart and Myntra had commenced operations, and fashion e-commerce retail was gaining momentum. Since Arvind Fashions had the largest portfolio of casual branded men's apparel in India, these online platforms identified the company as a key partner. Arvind Fashions started selling wholesale via these online platforms. This was around the time Lalbhai joined his family firm in its retail concepts division, The Arvind Store, his first exposure to consumer retail.

Lalbhai recalled, *"After this, I left for Harvard Business School. I had a background in technology from my undergrad years. In my second year at HBS, I started thinking about using technology and innovation to bring about large-scale change in our business. How to ready Arvind Fashions for the future?"*

It was evident to him that e-commerce was poised to take off in India, as in the rest of the world. He was influenced by the "innovator's dilemma" course at HBS with Prof. Clayton Christensen[12]. He said, "*My core takeaway was that, as an incumbent, if you don't want to be disrupted, you must disrupt yourself. Using the innovator's dilemma as a framework, I restated the problem from 'how can Arvind Fashions conquer e-commerce' to 'how can Arvind Fashions prepare itself for the digital world'".* The goal was to build a range of digital capabilities, with the smartphone at the centre, instead of considering e-commerce as just another channel.

Arvind Internet

In 2014, the Arvind Fashions leadership decided on a "start-up" led by Lalbhai, called Arvind Internet, to serve as the innovation engine of Arvind Fashions. He hired some of the best minds from the digital ecosystem to build a founding team. He convinced his friend Mukul Bafana, a classmate from HBS, to join him on the leadership team of Arvind Internet. Bafana, now the CEO of Omuni, recalled, *"Arvind Fashions had the foresight to say that this was beyond its current capability, and not really in its DNA. However, it wanted to invest in a new organisation with a digital-first outlook, which would look to disrupt the way omnichannel was viewed. We would be at an arms-length from the parent, but have the captive customer base of Arvind's brands".*

With this vision, they set up a team in Bengaluru. At the time, e-commerce portals like Myntra had taken over ownership of the online customer from the brands since so many new

[12] "The Innovator's Dilemma" refers to a series of related articles and a 1997 book (The Innovator's Dilemma: When New Technologies Cause Great Firms to Fail) by Clayton Christensen, which discusses how established firms respond to technology changes and innovations, and make several recommendations on how such firms can best manage disruptive technology changes.

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customers were going directly to them. Bafana said, *"The e-commerce platforms were the fresh product launch channel, the discounting channel, the footfall channel and the liquidation channel"*. The first step to taking back ownership of the customer was to build an e-commerce platform and fulfil orders from the company's own inventory.

For Lalbhai, this was the essence of Omnichannel. He said, "*My definition of Omnichannel was very simple: 'one customer, one inventory'*". Bafana added, *"We took this 'one customer, one inventory' view to think about the experience the customer is looking for, online or offline. What are the features, the technology and architecture required to achieve the customer journey seamlessly across channels?"*.

Initially, they planned to build the platform around an off-the-shelf enterprise retail software. They floated an RFP for vendor selection in 2015, and eventually signed up a leading enterprise software as their solution. They soon realised that the product was designed for e-commerce but not for omnichannel. For instance, it was not geared to deliver inventory directly from retail stores, one of their key needs. They needed a simple interface for the store staff to dispatch an item from the store to a customer via a logistics provider. There was no off-the-shelf e-commerce product that addressed this. They felt the degree of customisation involved was not worth it.

Bafana said, *"With so much customisation, the upgrade cycle would be extremely challenging. Further, since we were working with a global software company which was running major projects for many customers at the time, they were struggling to provide us with enough resources, and the build was likely to take 18 months."* Six months into the project, Arvind Internet decided to abort the partnership and build the technology stack on its own from first principles.

Building an Omnichannel Platform

Arvind Internet hired a Chief Technology Officer and a team of 35 engineers. The brands had different technology backends, from ERP to POS to customer databases. They made the decision to have a unified backend in line with the omnichannel vision. They first built a common order and inventory management system (OMS and IMS) to service all their channels, and added common services such as pricing, promotions, logistics, customer data, and content management systems. It was developed as a software-as-a-service (SAAS)[13] platform with a microservices middleware layer, allowing each brand the flexibility to consume the services it needed.

One key point of discussion between Arvind Internet, the brand teams of Arvind Fashions and the brand principals was whether to have separate websites for each brand or a common "high street" with all the brands on the same consumer platform. They decided to go with a common website, NNNow.com, considering synergies, marketing efficiencies and operating costs. Using a multi-tenant architecture, they separated the customer data between brands, since some were competitors to each other. There were distinct microsites for each brand inside NNNow.com, with each brand having its own experience, its own visual language, and marketing campaigns. However, customers had common logins and shopping carts on the portal.

[13] Carey, S. (2021, July 22) *What is SaaS? Software as a service defined.* https://www.infoworld.com/article/3226386/what-is-saas-software-as-a-service-defined.html

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Throughout the build, they had access to Arvind Fashions' brand teams and were able to pilot parts of the functionality with select customers as well. This helped them to understand problems and create precise solutions. They needed to provide every sales point, online and offline, with a unified view of inventory across all stores and warehouses, to minimise stockouts and liquidation. When delivering products from their many franchisee stores, reconciliation was extremely complex, and the reconciliation module had to be very sophisticated to manage this. The platform had to be certified SOC2 compliant[14], as many of their international brands had very stringent cyber-security requirements. **Exhibit 3** shows the current architecture of the omnichannel platform, now called Omuni, and its integrations with NNNow.com.

Lalbhai said, *"Before launching, there was a 2-month dog-fooding period with the existing store staff, managers and even some customers. We built from the perspective of a fashion retailer."* After a 5-and-a-half-month build, they launched the omnichannel platform in May 2016, along with the store application, consumer website and mobile app. Over the next year, they built a new culture and organisational structure to adopt the omnichannel approach. Bafana said, *"We spent a lot of time changing mindsets and breaking silos between MBO and EBO, between distribution and stores".*

There were stressful times as the company had to change direction a few times, and went through periodic layoffs. It invested over INR 1 billion (USD 15 million) into its internet arm over 2 years. As a listed company, it was accountable to shareholders, and Lalbhai had to justify these investments to the board. He said, *"The first few years, I went through the emotional journey of a digital founder, rather than that of a promoter in a conglomerate".*

SPINNING OFF OMUNI

With the software stack in place, Lalbhai felt they needed to provide the 150-strong Arvind Internet team with a future vision and new challenges, which would be difficult as an in-house technology division. Constant investments were necessary to stay on top of advancing technology and industry trends. It was tough to justify capital infusion only for the limited needs of Arvind Fashions. He recalled, *"I was under pressure from the board to justify the presence of this team".*

Lalbhai decided to contact competing brands in India such as Levis, Benetton and Bata and offer them Arvind Internet's technology stack. Initially, these companies were worried about their data going to a competitor. Lalbhai said, *"To allay their concerns, we gave them the example of Arvind Mills, our group company, which supplied textiles to some of Arvind Fashions biggest competitors!"*

In 2017, Arvind Fashions spun off its technology platform as a SAAS product to a separate legal entity, a business-to-business (B2B) technology company named Omuni. The NNNow.com platform remained a part of the parent company. The team was split down the middle, with some staying on as part of the Digital Centre of Excellence (DCoE) at Arvind Fashions and the rest joining Omuni. Bafana took over as the CEO of Omuni.

Over time, the Omuni board felt that to scale-up, the company would either need to go global or become part of a bigger ecosystem. Competing in the international market required

[14] AICPA & CMA (n.d.). *SOC 2® - SOC for Service Organizations: Trust Services Criteria.* https://www.aicpa-cima.com/topic/audit-assurance/audit-and-assurance-greater-than-soc-2

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substantial upfront investments with a long pay-back period. Therefore, in 2022, with the objective of capital infusion for long term growth, Omuni was sold to the logistics firm Shiprocket, and currently serves around 100 enterprise customers in India.

Bafana said, *"Omuni's relationship with Arvind Fashions has been extremely symbiotic. We still treat them as not only our first, but our most important customer. We have a dedicated team that works with their DCoE in a pod model, to help develop their technology roadmap, as well as our future plans."*

MASTERING THE MARKETPLACE MODEL

By 2017, Arvind Fashions was perhaps the only apparel company fulfilling online orders from many stores, over 1000 at the time, via its website and consumer app. At the time, e-commerce giants like Myntra, Flipkart, and Amazon, were growing rapidly and acquiring customers at an unprecedented speed. Arvind Fashions needed to leverage these platforms to increase customer access and build brand recognition. Lalbhai said, *"A customer in a Tier 3 town can get to know my brands and products on Myntra. Eventually, when a store opens in that town, the brands are already familiar. The e-commerce platforms are a great boon in that sense".*

Arvind Fashions was already selling its brands on e-commerce portals across the country. It treated these platforms as another wholesale channel and transferred inventory to them. [see **Exhibit 4** for a schematic of Arvind Fashions' sales channels]. Most of the inventory going to these channels was past season or liquidation stock.

Nitesh Kanchan, Chief Digital Officer (CDO) at Arvind Fashions, has been with the company in various roles since 2014. He said, *"To gain market share, e-commerce portals start discounting products very early in the lifecycle. To counter this, we decided to focus more on the marketplace model where we controlled the assortment, discounts and lead times, and the platform only connected us to customers".*

The company connected its warehouses and stores directly to e-commerce platforms using its Omnichannel software, and fulfilled orders received on these platforms from its own inventory. Lalbhai explained, *"The marketplace model was very vibrant and attractive, boosting sales, greatly improving store productivity, and helping liquidate old inventory".*

Arvind Fashions used several tactics to improve product visibility on these third-party marketplaces. They participated in listing and banner ad campaigns, deals and coupons. Some of these were on a pay-per-click basis, while others were free of cost by partnering with the portal's category manager or bartering discounts or social media engagement for visibility on the portal.

Shishir Gupta, Business Head of Digital at Arvind Fashions, said, *"The rank of an SKU on the marketplace is a key factor to visibility. Achieving it requires a great deal of data analytics on consumer preferences. We also have to make sure that the right keywords are associated with the products so that they show up on searches and filters. We need to keep improving at this to match or surpass the capabilities of a select few companies in other sectors that have scaled their business exclusively on marketplaces".*

As of 2023, about three-quarters of Arvind Fashions' stores were live on marketplaces which accounted for just under half of its digital sales. The marketplace model rapidly scaled up for Arvind. Lalbhai said, *"Over time, we would like to increase the share of the marketplace model to over 50% of our sales to third-party websites over the next decade. This will allow us to target the right*

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customers and ensure that our products are presented well, so they see the brand as we do. Our catalogue, our pricing, our campaigns".

CURRENT TECHNOLOGY CAPABILITIES

Arvind Fashions' brand strategy was to create fewer but bigger and more powerful brands, which the company referred to as Power Brands. Since 2019, it focused on merchandising by collaborating with the brand principals to develop specific designs exclusive to Indian customers. Gupta said, *"A lot of the merchandise products that we have developed with the brands have been success stories and have been strong contributors to our sales".*

Lalbhai felt that customer retention was still a major challenge due to the glut of new brands in India. Apart from its traditional competitors, the company faced bouts of competition from new D2C brands such as Freakins for denimwear, Rare Rabbit for formalwear and Myntra's private label brand Roadster. The Arvind Fashions leadership felt that technology would play a key role in this difficult competitive landscape.

Building a digital-first organisation

Lalbhai said, *"The DCoE team which had the technology we built at their disposal, put our digital journey on steroids. We went from less than 100 crores (USD 20 million) in online sales in 2012 to more than 1000 crores (USD 120 million) by 2023".* **Exhibit 5** gives a percentage breakdown of revenues by channel, and shows that nearly 30% of Arvind Fashions' sales were via online channels in 2022 and 2023.

Lalbhai felt that the key to this growth was the young and digital-first talent that moved from the erstwhile Arvind Internet to the Arvind Fashions DCoE. In his words: *"Over time we created a matrix organisation, with our group CEO sitting on top of our brand CEOs. Our digital centre of excellence (DCoE) works closely with the offline teams across brands. Going back to Clayton Christensen's model, after incubating these technology capabilities, we have been able to infuse them into the rest of the organisation. Today, even my offline team has become very tech-savvy, and the entire leadership pipeline has this digital thinking approach. I think this is a big part of why our share of online is double that of the industry in general".*

Digital marketing

Gupta felt that their digital marketing needs were different from many online D2C brands that did not have a physical footprint, since the retail stores served as points of advertising to create brand recall. Each brand had a strategy of how it wanted to be seen and a clear design language developed in collaboration with the brand principals.

The company used social media such as Facebook and Instagram extensively both for content marketing and paid advertising. It had an annual marketing calendar, which included minor campaigns weekly and major campaigns around festivals such as Diwali, New Year and Holi and other milestones every two to three months. A key part of the strategy was to create a buzz around new launches such as the USPA website launch. **Exhibit 6(a)** shows a snapshot of the analytics dashboard that keeps track of performance by social media advertising channel.

Gupta said, *"We have used influencer marketing selectively, such as with tennis stars Leander Paes and Mahesh Bhupathi during the USPA web launch, or with Vijay Varma for NNNow.com. Our*

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existing apparel brands generally need no introduction, just recall, so the ROI for influencer marketing has to be considered carefully".

THE DIGITAL FUTURE

Gupta explained the 3 pillars of Arvind Fashions' digital strategy, *"The first is to be Omnichannel and sell through all possible touchpoints, the second is to own the customer data and harness it as needed, and the third is to be D2C".*

Omnichannel in action

Lalbhai said, *"We always looked at it as 'online and offline' instead of 'online vs offline'. Our data showed that a customer who purchased both online and offline on average had 2.5 times the sales of either a purely offline or purely online customer. Our core insight was to drive more Omnichannel sales to maximise revenues and minimise CAC (customer acquisition cost)".*

Gupta added, *"The real power of Omnichannel is when we leverage our stores as fulfilment centres as well as for digital demand creation. We have a common inventory and customer view. We choose the fulfilment centre based on availability and proximity to the customer".* **Exhibit 7(a)** shows how stores have been configured as fulfilment centres along with warehouses on Omuni. **Exhibit 7(b)** shows the dashboard from the Omuni OMS with a summary of store delivery or pickup orders, and warehouse delivery orders.

The store inventory was visible to the customer on NNNow.com where they could select their preferred store and see what was available before making a visit. Customers could also buy online and pick up from the store, or have the clothes altered at the store for online purchases. Arvind Fashions extended its offline loyalty programs to online, while consolidating the separate brand loyalty programs at the backend.

Gupta said, "*When a high-intent consumer comes in looking for something specific, and the store does not have that product or size, the agent in the store can 'save the sale' by ordering the product for home delivery on the spot. Alternatively, we may have a customer walking into the store with a vague idea but has not zeroed in on a product. Apart from the products available in the store, we can show the customer a full range of products online, an 'endless aisle' of products to order from".*

Exhibit 8(a) shows a snapshot of the store agent's screen that enables the "save the sale" and 'endless aisle" features. It allows them to look for products based on the customer's profile, find similar items by size, colour and style to a product the customer has already chosen or simply filter through the entire brand catalogue. **Exhibit 8(b)** shows the interface that the store staff may use to dispatch products from the store using logistics partners, track the status of shipments, deliver items directly from the store, and process returns. The interface also provides a dashboard showing fulfilled and pending orders and leaderboards showing store and agent performance in comparison to other stores.

Arvind Fashions expanded efficiently into new categories by testing them online first. It started the footwear category exclusively online in 2018. Once it found some traction, it added some offline stores, but the category grew to INR 4 billion (USD 50 million) over 5 years largely via digital channels. The company also expanded into adjacent categories such as innerwear, kids' wear, and women's wear through the online first model.

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Leveraging data

Having largely solved the 'one inventory' problem, the DCoE was focused on solving the 'one customer' problem. The goal was to have a single view of the customer across various platforms. They systemically aggregated the offline and online data from all touchpoints, including transactions, marketing and impressions, and cleaned and consolidated it into a master data pool.

Lalbhai said, "*The data is so powerful, it can make our overall business model better, not just our online business. Every quarter, our data analytics team works on 3 to 4 use cases; some fail and some work. The next 2 years are about building and executing use cases that can make the business model more efficient*".

Roughly 30% of Arvind Fashions' sales came from wholesale distributors with little visibility into the end customer [See **Exhibit 5**]. The company's own ERP was connected with over 700 distributors to get detailed sales data on T+1 basis, with coverage to the remaining distributors planned to be extended over the next 2 years. The company had to ensure there was no leakage from third parties to their competitors. Satish Panchapakesan, CIO, said, *"We have implemented some solutions to ringfence our data both at the store level and from the cloud, where we host a lot of our data"*.

Data integrity was a big challenge in a fragmented business with so many channels, brands and categories. Panchapakesan said, *"We need to make things as one-touch as possible, whether updating pricing and discounts, refreshing store master data, or correcting inventory data at the store. This will make sure the data is consistent across systems."*

Vinayak Singh, who headed the data science team, said, *"On the master data lake, we have built an analytics layer of output KPIs (key performance indicators), then input KPIs and strategic analytics on top of that. We have discussed KRAs (key result areas) and corresponding KPIs with each function, so there is a north star to monitor progress. We also perform causal analyses and create input metrics dashboards, with leading indicators to help identify various levers that the subfunctions may use to improve operations"*. He described how they had designed alerts for specific operational issues such as payment failures. If a store or a certain brand went offline from the supply grid, the category managers were alerted so they could engage with the store and take corrective action.

At a strategic level, some of the major use cases the leadership was focused on were price optimisation and discounting, marketplace visibility, dynamic inventory management, personalisation, targeted digital marketing, and returns efficiency. Arvind Fashions had integrated the manufacturing and supply chain with its retail technology stack. It put some of the high-performing SKUs on automatic replenishment, where the system would automatically place an order based on stock level and provide triggers to the entire supply chain including the fabric producer and the garment manufacturer.

Exhibit 6(b) shows the omnichannel dashboard indicating the inventory exposure across channels, portals, categories, brands, stores and season, with filters across a variety of parameters. **Exhibit 6(c)** drills down to a specific third-party portal with live inventory status. **Exhibit 6(d)** shows an inventory analytics dashboard with the marketplace pricing algorithm, and the various levers used to determine pricing for a range of products.

Lalbhai felt that adding a layer of data science to this would enable them to increase the automation in the supply chain, and even extend it to design. He said, "*Can we use AI and ML*

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to determine how much my new design might sell? Can I use it to reduce my CAC, by knowing which kind of customer profile likes which of my products and target them?"

Panchapakesan felt that customer returns were one of the most fertile areas for AI&ML. He said, "*There is a lot of scope for improving merchandise based on demographics, and trends. We are challenging our teams to give us the data on the returning stock to help us make better merchandising decisions."*

The company used Looker Studio, formerly Google Data Studio, for dashboards, and BigQuery for data warehousing and analytics. They were exploring Stylumia for more advanced AI algorithms. Singh said, *"The idea is to become more effective with diagnostic and predictive analytics. We want to leverage user ratings and net promoter score (NPS) to gauge customer preferences and loyalty."*

Kanchan noted, "*We are still struggling with customer cohort analysis. We lack the capability of creating cohorts within cohorts for instance. We need such capabilities to develop a robust recommendation engine for personalisation. For NNNow.com, we are considering partnering with a globally reputed e-commerce platform for this, but it has never been deployed for an apparel retailer before".*

Bafana felt that cross-channel and hyperlocal personalisation could be the key to the future of Omnichannel. He said, *"Based on your online behaviour in the recent past, can I request your phone number as you enter the store and use that to change your store journey by showing you products you may be more interested in or offers that may appeal to you? Then, can I use your preference to show you products online that may be ready for liquidation and sell them to you for a markdown? That's the power of cross-channel data. It's a win-win for the store and the customer".*

Going D2C

To build on its omnichannel strategy and use data and analytics more effectively in service of the "one inventory, one customer" mantra, Arvind Fashions hoped to exercise maximum control of its sales channels. For the Arvind Fashions leadership, the goal was to substantially increase the share of D2C in the digital space. This approach would help develop a 360-degree view of the customer, leading to a more curated assortment and superior purchasing experience. It would help them improve their product margins by eliminating platform fees. Further, it would serve as a hedge against arbitrary demands from third parties. This strengthened the company's bargaining position and was a strategic imperative given the scale of their business on portals like Myntra and Ajio.

Kanchan said, *"The mature Indian customer now is more interested in experience than assortment and choice. A dedicated D2C brand can provide that experience. It may be able to deliver in 2 hours from a store, something a large marketplace will likely never be able to do. One of our advantages is that by using stores as fulfilment centres, we have been able to reduce lead times significantly, sometimes to even a few hours".*

Mono-brand websites

Part of the strategy was to migrate their key brands to mono-brand websites. Arvind Fashions launched the USPA website in August 2023. Kanchan said, *"US Polo customers should be able to experience and romance the brand in the digital space also. You get the latest collections, inventory and styles which you may not find anywhere else. We are increasing the engagement level. After stabilising*

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this site, we plan to use the learnings from this launch and expand to other brands such as Tommy, CK and Arrow. Indian consumers are spoilt by the experience they get on the likes of Myntra and Flipkart. We are not quite there yet but are striving to get there".

While it would continue to sell US Polo items on NNNow.com and third-party marketplaces, those channels would be used to sell discounted stock primarily as a liquidation mechanism. The brand website would house the new season merchandise in tandem with the brand stores along with a specially curated assortment exclusive to the website. Kanchan said, *"The idea is to move the hardcore US Polo brand loyalist customer, who is looking for the latest full-price item, to the brand website. The value or discount seeker would go to Myntra or NNNow.com".*

The CAC for D2C was higher since the brand needed to invest more resources and capital in marketing and sales, while in case of wholesale or marketplace, third parties shared the cost. This meant that D2C brands needed higher price points or exceedingly high volumes to be profitable. Bafana said, *"Online low-price high volume D2C brands could pop up and die in months. For more premium international brands, with high licensing costs, the economics of D2C works only above a certain price point. The payback period is long, but companies can sell high-priced items on exclusive brand websites, even with the high CAC".*

Gupta felt that given the challenges of product discovery on multi-brand websites, the discerning customer would eventually migrate to brand websites. However, Kanchan warned that finding the right balance between marketplaces and mono-brand websites was important. He felt that while the key brands could stand on their own, some brands would need the marketplaces to sustain.

Gupta concurred: *"Big portals can acquire customers very efficiently because they are doing it at scale and are cross-selling fashion to customers looking for something else. They have large media budgets. If we get too big with D2C, there is a trade-off in terms of increasing CAC. The other challenge is to drive traffic to an individual store or set of stores by means of search engine optimisation. We must be there on the marketplaces as well. It isn't either-or, it's both!"*

From a technology perspective, Kanchan felt there were limitations to the existing front-end product that constrained the user experience. For the USPA website, they used a well-known global enterprise e-commerce platform, which Kanchan said, *"had worldwide acceptance and buy-in from the brand principals"*. He believed it satisfied most of their requirements, and they were in conversation with the platform to add newer features to the product roadmap.

LOOKING AHEAD

Arvind Fashions chose the marketplace model to grow its online channels without brand dilution and excessive discounting. It was focused on increasing the D2C business to facilitate better consumer insights, a more personalised customer experience and better control over assortment, pricing, discounts and margins. Should it build separate websites for key brands, or should it continue to focus on NNNow.com? What were the benefits and risks of such brand websites? What else could it have done to boost the share of D2C?

The company had an eye on business model innovations in the industry globally. In time, social commerce and influencer marketing may become more relevant. Players like Shein and

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Temu[15] had taken fast fashion to a stage where they could launch 200 designs in a day, constantly iterating based on real-time consumer preferences, with an inventory turnaround time of less than 6 weeks. Similar models may penetrate the Indian market soon. How would Arvind Fashions compete with such disruptive players? Would it be able to use data science, AI and ML to future proof the business model with dynamic inventory management, faster delivery, reverse logistics and automation? Would omnichannel personalisation become a key part of its strategy?

How would it justify the capital investments needed to achieve its digital ambitions? Should it consider opening NNNow.com to third-party brands and becoming a direct competitor to the likes of Myntra and Amazon? Was there room for another marketplace in India? Since ONDC[16] has now been launched to democratise e-commerce, was it worth expanding the marketplace?

Lalbhai said, *"Companies that use tech to change the business model will be successful. We intend to be at the forefront of that".*

[15] Deighton, J. (2023, April 25). *How SHEIN and Temu Conquered Fast Fashion – and Forged a New Business Model.* https://hbswk.hbs.edu/item/how-shein-and-temu-conquered-fast-fashion-and-forged-a-new-business-model

[16] Open Network for Digital Commerce (ONDC) is a private non-profit company established by the Government of India's Department for Promotion of Industry and Internal Trade (DPIT) to develop open e-commerce. Website: https://ondc.org/

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Exhibit 1: Personnel quoted in the case study

Kulin Lalbhai: Director at Arvind Fashions and Executive Director at Arvind Ltd. Drives new initiatives in the consumer business

Nitesh Kanchan: Chief Digital Officer (CDO) at Arvind Fashions. Formerly CEO of Sephora India and COO of Arrow India (joined 2014).

Shishir Gupta: Business Head of Digital at Arvind Fashions (joined 2018).

Satish Panchapakesan: Senior Vice-President & CIO at Arvind Fashions (joined 2020).

Vinayak Singh: General Manager at Arvind Ltd. Heads the data science team (joined 2022).

Mukul Bafana: CEO of Omuni (since 2017). Formerly Chief Product & Strategy Officer at Arvind Internet (2014-2016).

The case team would like to thank all the above for their support.

Source: Information provided by Arvind Fashions.

Exhibit 2 : Arvind Fashions company profile

- Established 1931, a wholly owned subsidiary of Arvind Ltd.
- 1,300+ standalone stores (EBOs)
- 5,000+ departmental and multi-brand stores (MBOs)
- Present in 192 cities and towns in India
- 30 million new products every season

Financial highlights (FY 2023)

- Revenue: INR 44,210 million (USD 530 million), up 45% Y-o-Y
- Profit after tax: INR 370 million (USD 4.5 million)
- EBITDA margin: 11.4%.
- Mix of own retail channel in overall sales grew to 43%, a 4% improvement from the year before
- Offline channels made a strong comeback after FY22, which was impacted by the Covid-19 pandemic.

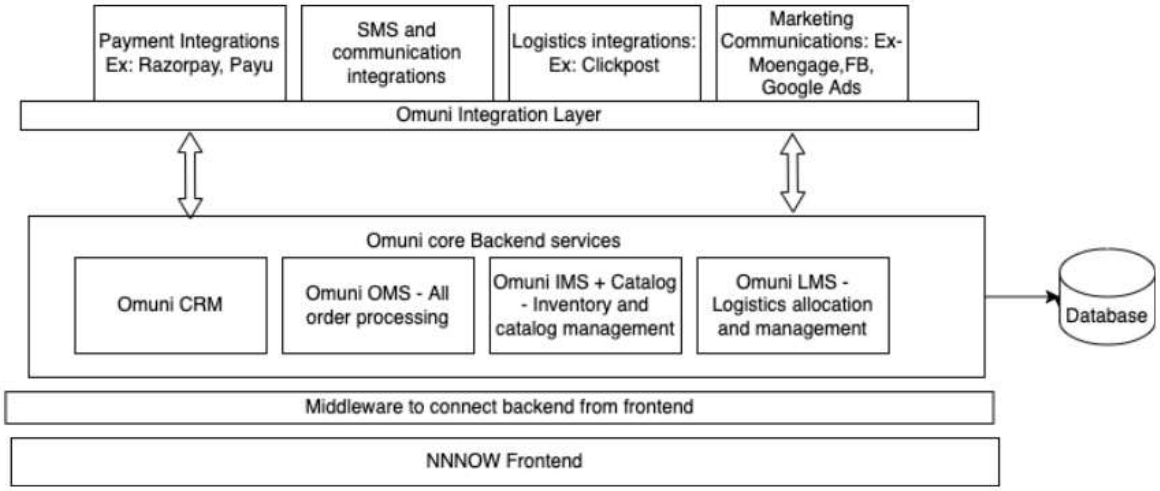
Apparel and footwear brand franchises:

- ✓ Arrow
- ✓ Flying Machine
- ✓ Tommy Hilfiger
- ✓ Calvin Klein
- ✓ USPA
- ✓ Cole Haan (footwear only)

Source: Arvind Fashions. (n.d.). *Who we are.* https://www.arvindfashions.com/;

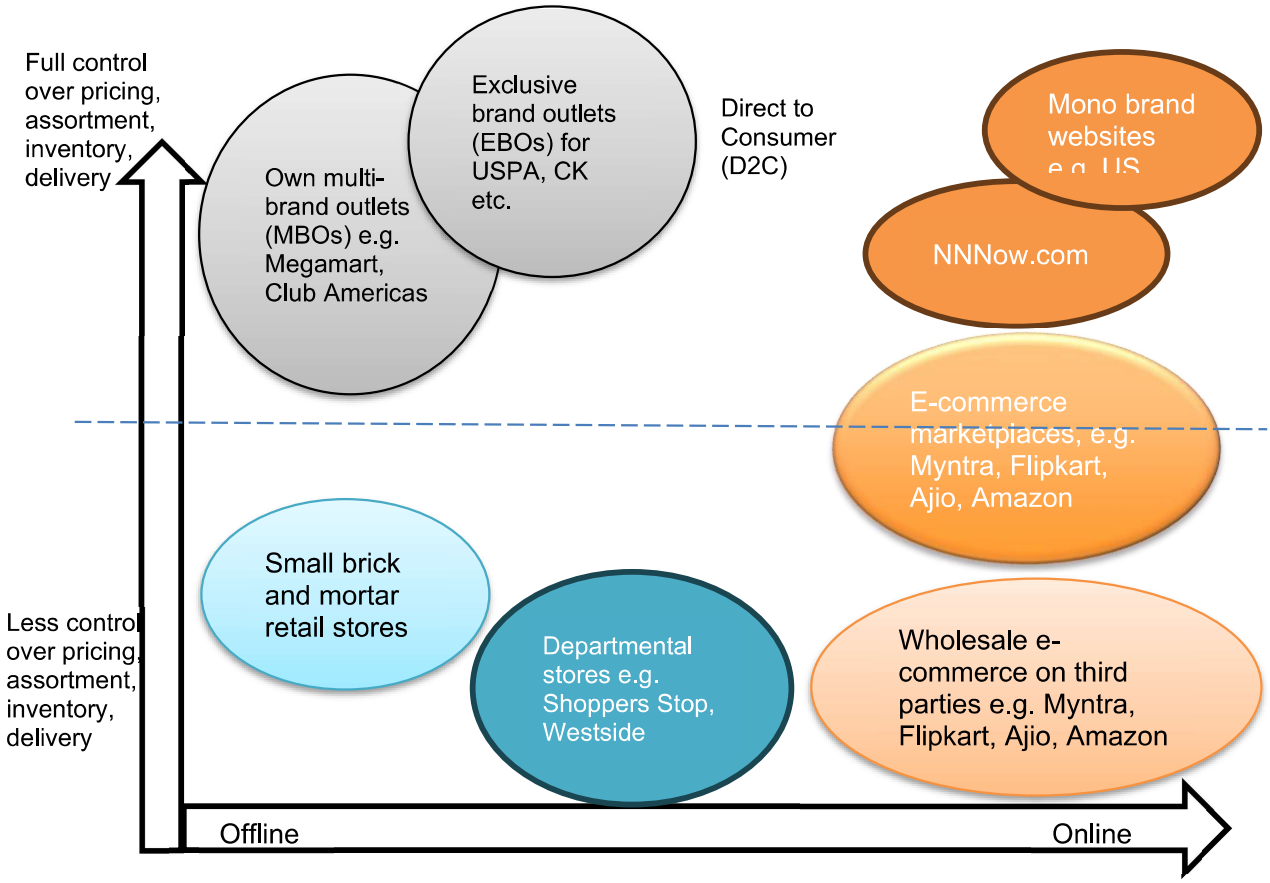
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Exhibit 3: Architecture of Omuni with integrations to NNNow



Source: Information provided by Arvind Fashions

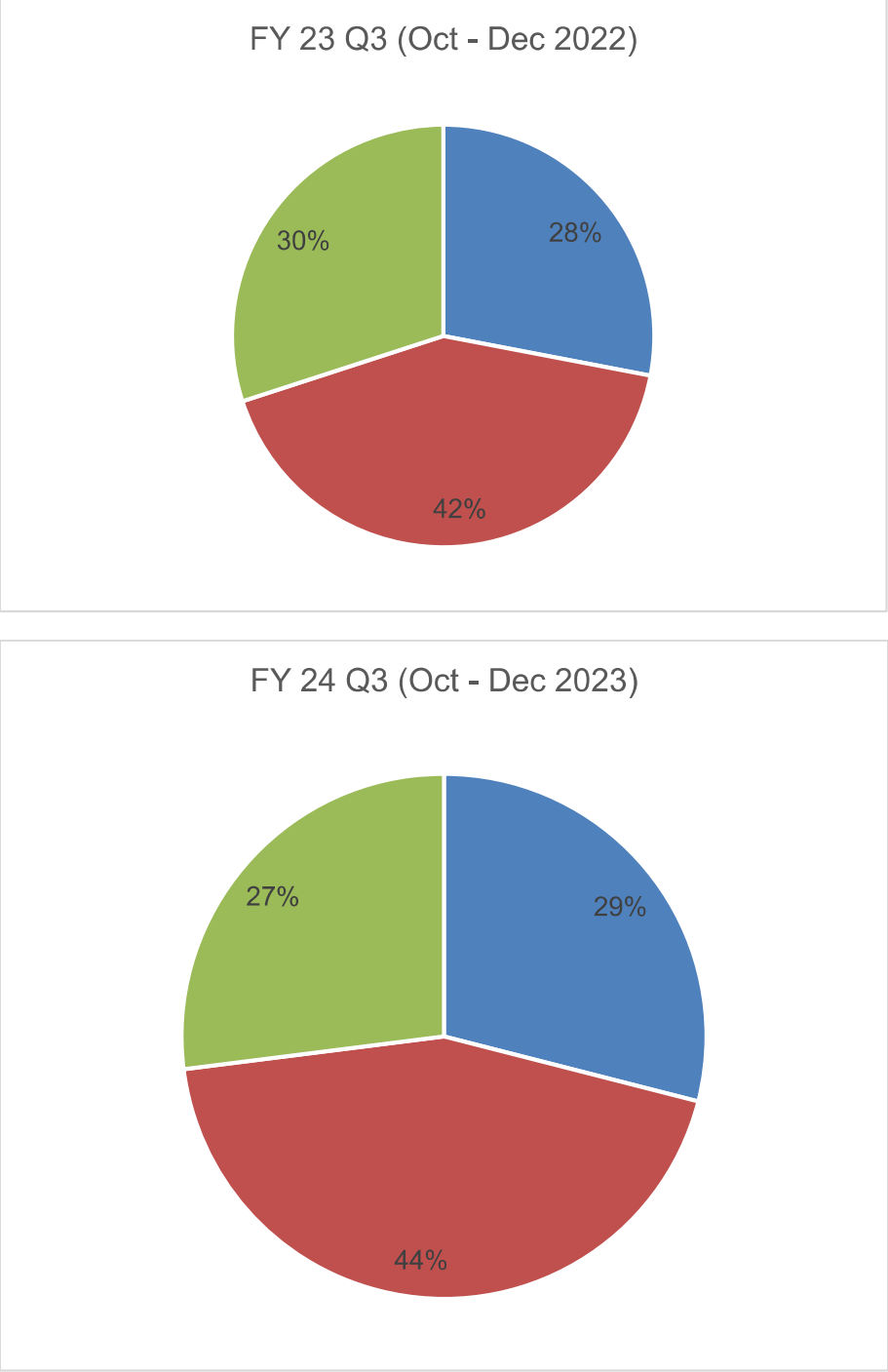
Exhibit 4: Arvind Fashions' sales channels



Source: Authors, based on case interviews

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Exhibit 5: Arvind Fashions' channel mix % by revenue



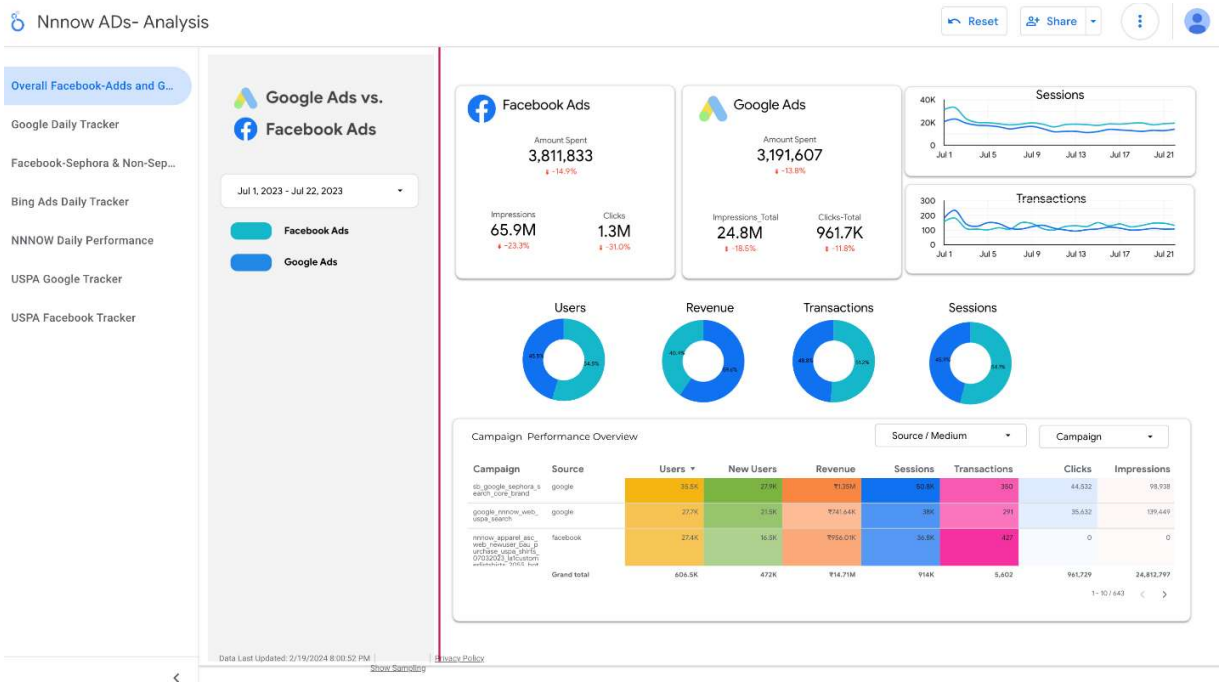
Channel	*FY 23 Q3 (Oct - Dec 2022)*	*FY 24 Q3 (Oct - Dec 2023)*
Wholesale (MBOs including departmental stores)	28%	29%
Retail (own brick and mortar channels)	42%	44%
Online and others	30%	27%

Source: (Arvind Fashions Limited, 2024)

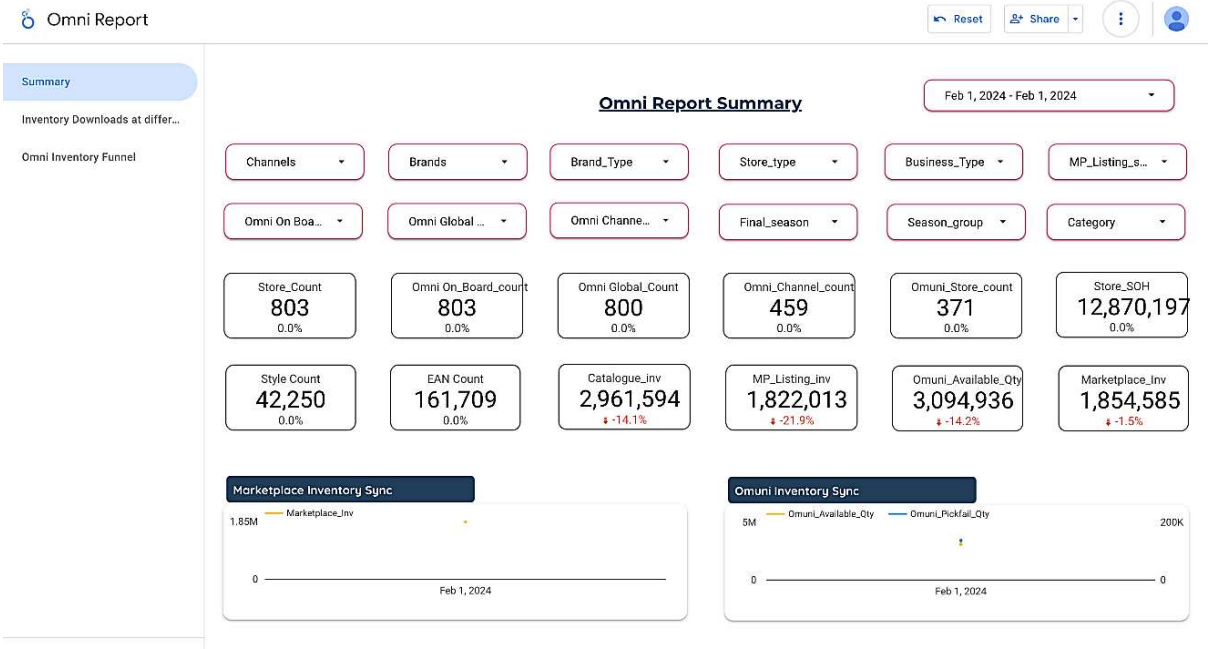
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Exhibit 6: Arvind Fashions, analytics dashboard snapshots

a) Digital marketing campaign performance metrics



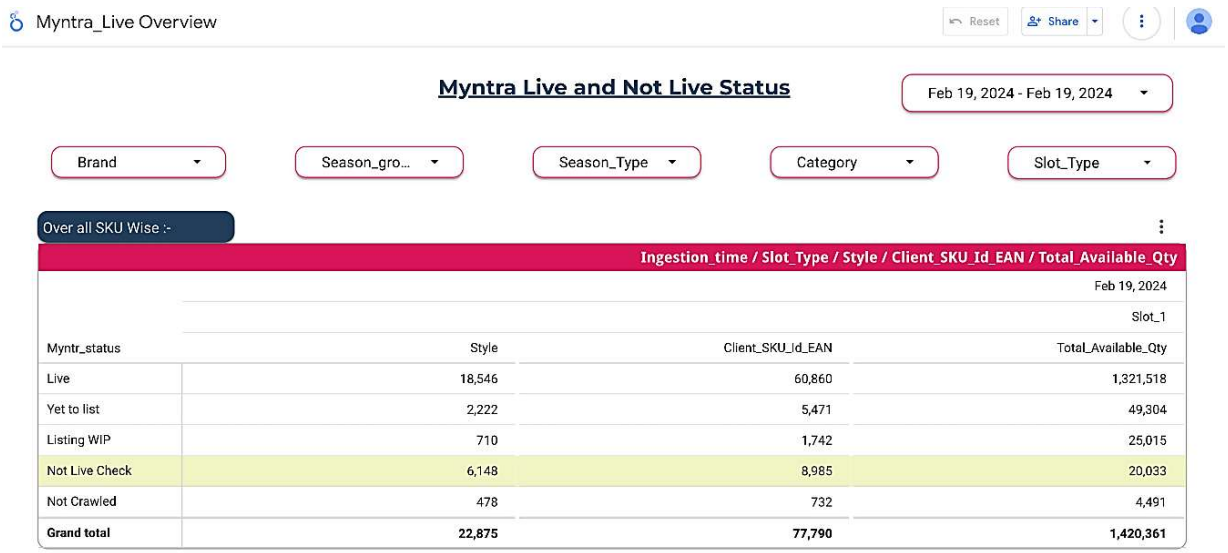
b) Inventory status across channels, with filtering capability



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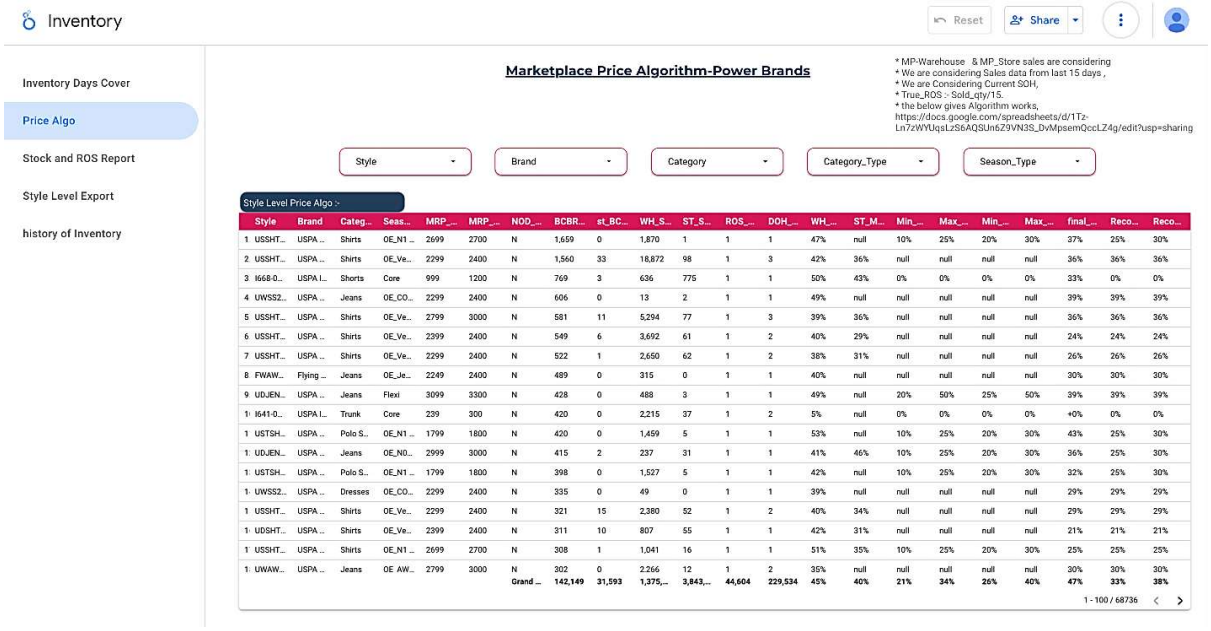
Exhibit 6: Arvind Fashions, analytics dashboard snapshots (continued)

c) Product (SKU) wise exposure on third-party marketplace



Ingestion_time / Slot_Type / Style / Client_SKU_Id_EAN / Total_Available_Qty			
			Feb 19, 2024
			Slot_1
Myntr_status	Style	Client_SKU_Id_EAN	Total_Available_Qty
Live	18,546	60,860	1,321,518
Yet to list	2,222	5,471	49,304
Listing WIP	710	1,742	25,015
Not Live Check	6,148	8,985	20,033
Not Crawled	478	732	4,491
Grand total	**22,875**	**77,790**	**1,420,361**

d) Pricing algorithm snapshot with all possible pricing levers



Style	Brand	Categ...	Seas...	MRP_...	MRP_...	NOD_...	BCBR...	st_BC...	WH_S...	ST_S...	ROS_...	DOH_...	WH_...	ST_M...	Min_...	Max_...	Min_...	Max_...	final_...	Reco...	Reco...
1 USSHT...	USPA ...	Shirts	OE_N1 ...	2699	2700	N	1,659	0	1,870	1	1	1	47%	null	10%	25%	20%	30%	37%	25%	30%
2 USSHT...	USPA ...	Shirts	OE_Ve...	2299	2400	N	1,560	33	18,872	98	1	3	42%	36%	null	null	null	null	36%	36%	36%
3 I668-0...	USPA I...	Shorts	Core	999	1200	N	769	3	636	775	1	1	50%	43%	0%	0%	0%	0%	33%	0%	0%
4 UWSS2...	USPA ...	Jeans	OE_CO...	2299	2400	N	606	0	13	2	1	1	49%	null	null	null	null	null	39%	39%	39%
5 USSHT...	USPA ...	Shirts	OE_Ve...	2799	3000	N	581	11	5,294	77	1	3	39%	36%	null	null	null	null	36%	36%	36%
6 USSHT...	USPA ...	Shirts	OE_Ve...	2399	2400	N	549	6	3,692	61	1	2	40%	29%	null	null	null	null	24%	24%	24%
7 USSHT...	USPA ...	Shirts	OE_Ve...	2299	2400	N	522	1	2,650	62	1	2	38%	31%	null	null	null	null	26%	26%	26%
8 FWAW...	Flying ...	Jeans	OE_Je...	2249	2400	N	489	0	315	0	1	1	40%	null	null	null	null	null	30%	30%	30%
9 UDJEN...	USPA ...	Jeans	Flexi	3099	3300	N	428	0	488	3	1	1	49%	null	20%	50%	25%	50%	39%	39%	39%
10 I641-0...	USPA I...	Trunk	Core	239	300	N	420	0	2,215	37	1	2	5%	null	0%	0%	0%	0%	+0%	0%	0%
11 USTSH...	USPA ...	Polo S...	OE_N1 ...	1799	1800	N	420	0	1,459	5	1	1	53%	null	10%	25%	20%	30%	43%	25%	30%
12 UDJEN...	USPA ...	Jeans	OE_N0...	2999	3000	N	415	2	237	31	1	1	41%	46%	10%	25%	20%	30%	36%	25%	30%
13 USTSH...	USPA ...	Polo S...	OE_N1 ...	1799	1800	N	398	0	1,527	5	1	1	42%	null	10%	25%	20%	30%	32%	25%	30%
14 UWSS2...	USPA ...	Dresses	OE_CO...	2299	2400	N	335	0	49	0	1	1	39%	null	null	null	null	null	29%	29%	29%
15 USSHT...	USPA ...	Shirts	OE_Ve...	2299	2400	N	321	15	2,380	52	1	2	40%	34%	null	null	null	null	29%	29%	29%
16 UDSHT...	USPA ...	Shirts	OE_Ve...	2399	2400	N	311	10	807	55	1	1	42%	31%	null	null	null	null	21%	21%	21%
17 USSHT...	USPA ...	Shirts	OE_N1 ...	2699	2700	N	308	1	1,041	16	1	1	51%	35%	10%	25%	20%	30%	25%	25%	25%
18 UWAW...	USPA ...	Jeans	OE AW...	2799	3000	N	302	0	2,266	12	1	2	35%	null	null	null	null	null	30%	30%	30%
						Grand ...	142,149	31,593	1,375,...	3,843,...	44,604	229,534	45%	40%	21%	34%	26%	40%	47%	33%	38%

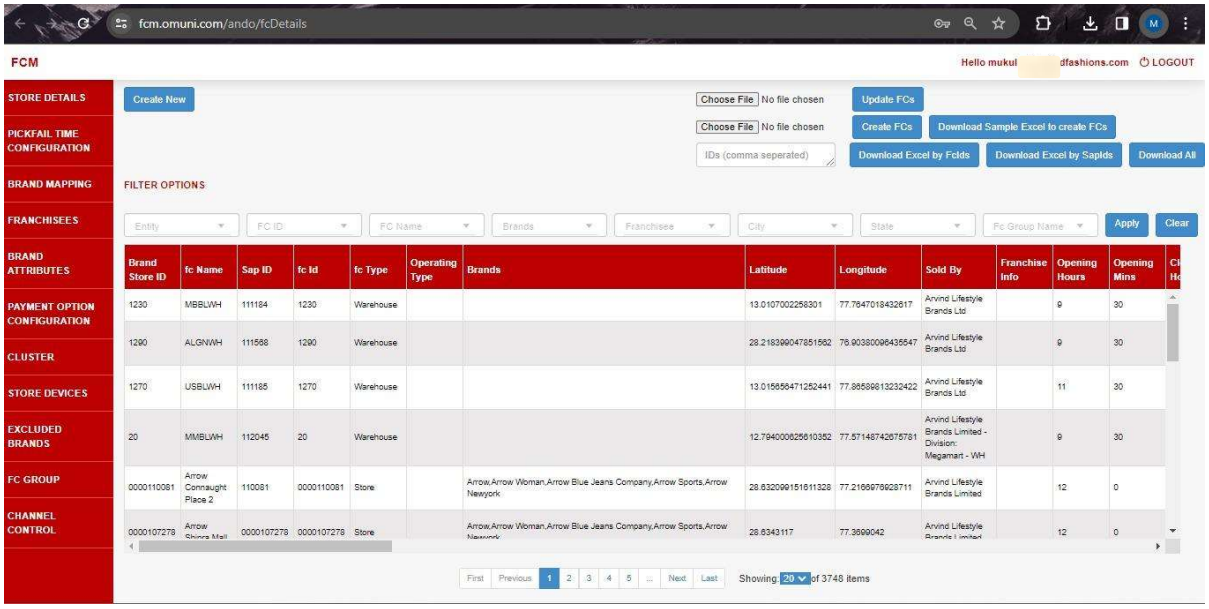
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Source: Information provided by Arvind Fashions.

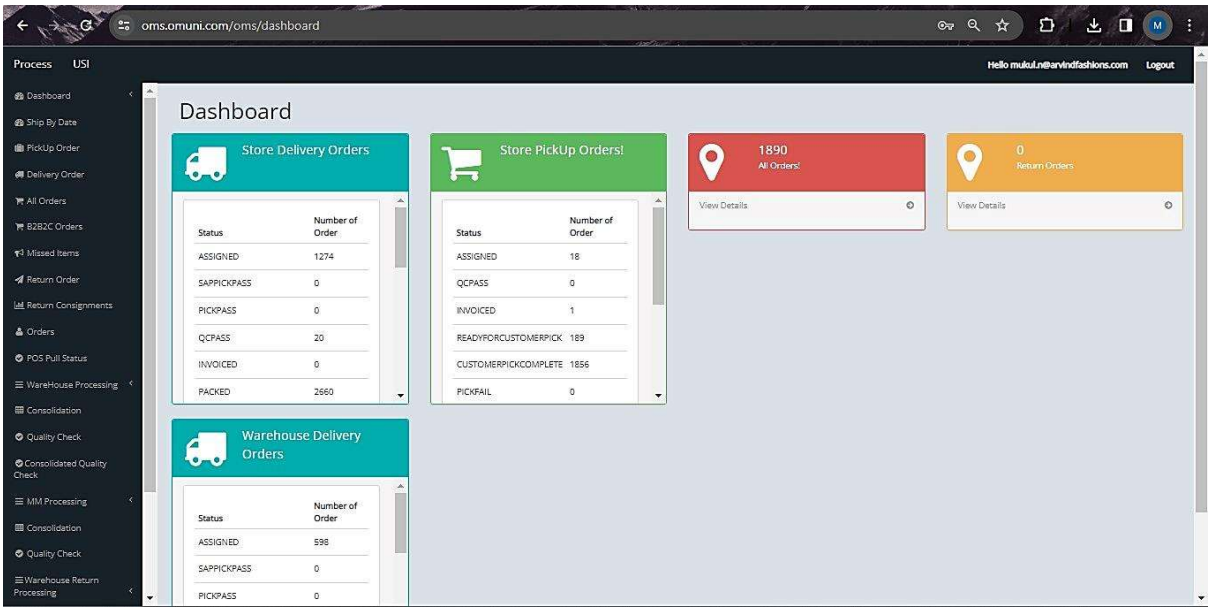
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Exhibit 7: Omuni interface snapshots

a) Store configuration



b) Order management system dashboard



Source: Information provided by Arvind Fashions.

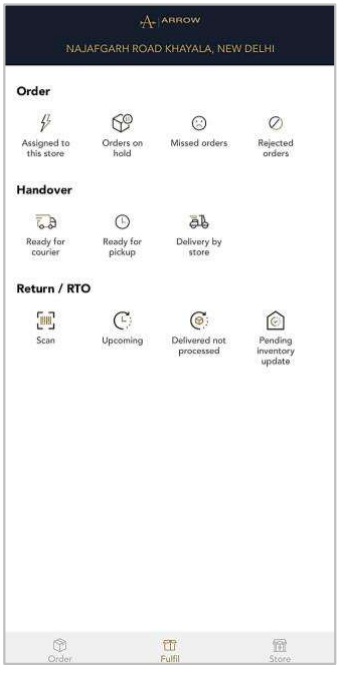
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Exhibit 8: Mobile/handheld interface for store staff

a) Save the sale and endless aisle screen



b) Ship from store screens





Source: Information provided by Arvind Fashions.

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Appendix A: Trends in Omnichannel retail

Some key trends that have the potential to accelerate the omnichannel movement further are discussed below[17] [18].

- **Mobile commerce** continued to grow as smartphones became the primary shopping device for most consumers. Retailers optimised websites and apps for mobile, implemented mobile payment options, and incorporated augmented and virtual reality (AR and VR) experiences on mobile devices.
- **Enhanced fulfilment solutions** with speed and convenience in delivery have become imperative. Retailers looked to fulfil store orders online and vice versa to blur the distinction between brick-and-mortar and e-commerce and provide faster shipping options like same-day or next-day delivery[19]. Quick pickups of returns and in-store returns for online purchases were prioritised. Some players in developed markets were experimenting with innovative delivery methods like drones and autonomous vehicles.
- **Artificial Intelligence and Machine Learning (AI&ML)** technology was powering various aspects of retail, from predictive dynamic inventory management to chatbots offering real-time customer service. Increased automation of operations reduced errors and enhanced efficiency across the value chain.
- **Personalisation** was gaining prominence, with retailers leveraging analytics and AI-driven insights to craft tailored solutions. From customised product recommendations to targeted marketing campaigns, the focus was on providing unique and relevant experiences for each consumer[20].

Immersive shopping experiences, including virtual trial rooms designed using AR and VR technology, social commerce with social media platforms evolving beyond mere networking sites and becoming vibrant marketplaces, and voice commerce enabled by smart home devices, were reshaping how consumers shopped.

Appendix B: Outline of the fashion product lifecycle

The fashion product lifecycle involves several key stages, from the initial concept to the product's eventual decline:

- **Trend identification and conceptualisation:**
  - Designers and product developers identify emerging fashion trends, often inspired by cultural, social, and global influences.
  - Concepts are created based on market research, consumer preferences, and brand identity.
- **Design and development:**
  - Designers create sketches and prototypes of new products and highlight them to retailers and manufacturers, often at roadshows and fairs.
  - Materials are selected, and patterns are created.
  - Samples are produced for review and modification.
- **Sourcing and manufacturing:**
  - Once the designs are finalised, materials are sampled and sourced.
  - The product is manufactured, locally or overseas, depending on the brand's strategy and cost considerations.
- **Marketing and branding:**
  - Marketing strategies are developed to promote the new fashion line.
  - This stage includes branding, advertising, and creating buzz through fashion shows, social media, influencers, and other channels.
- **Distribution:**
  - The product is distributed through various channels like retail stores, online platforms, or wholesale to other retailers, depending on the target market and the positioning of the brand.
- **Retail and sales:**
  - The product is available in stores and online platforms.
  - Sales strategies, including pricing, discounts, and promotions, are implemented to maximise revenue and profitability.
- **Market feedback and analysis:**
  - Sales data and customer feedback are collected and analysed.
  - This information is crucial for understanding the product's performance and for planning future products.

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[17] Aregu, A. & Shimelis, Z. (2022). Omnichannel retailing strategy: a systematic review. *The International Review of Retail, Distribution and Consumer Research, 32*(1), 59-79, DOI: 10.1080/09593969.2021.2024447

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[20] Shi, S.; Wang, Y.; Chen, X. and Zhang, Q. (2020). Conceptualization of omnichannel customer experience and its impact on shopping intention: A mixed-method approach. *International Journal of Information Management 50* (2020): 325-336.

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- **Saturation and decline:**
  - Over time, the product reaches market saturation; consumer interest wanes as newer trends emerge.
  - Sales begin to decline, leading to markdowns or clearance sales to liquidate remaining inventory.
- **End of product life:**
  - Eventually, the product is phased out of production and sales channels.
  - Lessons learned and insights gained are fed back into the first stage for future product development.

This cycle is dynamic and may vary in duration and intensity depending on the type of fashion product, the brand's strategy, market dynamics, and consumer behaviour. Fast fashion brands, for instance, have a much quicker turnaround through these stages compared to luxury fashion brands. Some products are transitioned from fashion to core where they may continue to sell across seasons.